

Global Macro: The Great Reversal? Japan's potential domestic pivot

DESKNOTE

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OUR KEY VIEWS

- We think Japan's Government Pension Investment Fund is unlikely to make a dramatic shift in its asset allocation strategy despite comments from across the government encouraging the purchase of more domestic assets.
- If the GPIF were to increase its domestic allocation in the near-term, our base case is the fund would use the upper limits of its allowed allocation ranges instead. This may have an impact on JGB markets, but we would not expect it to have a meaningful impact on FX.
- We remain bullish USDJPY and advocate staying long, targeting 170 (see [page 5](#)). Nonetheless, we examine the mechanics of how a broader shift to greater domestic investment might take place.

Domestic tilt: Recent comments from various parts of the Japanese government have sought to encourage a boost to the Government Pension Investment Fund's domestic asset allocation. We think this warrants careful consideration. Could this be the start of a reversal in the GPIF's foreign assets focus seen since the early 2010s? And with USDJPY trading at its highest level since the 1980s, are we on the cusp of an end to the JPY depreciation trend?

Japan has a huge positive net international investment position, at 74% of GDP (Figure 1), so any substantive measures by Japanese authorities to encourage domestic investment, and in turn, disincentive portfolio outflows could have significant implications for global macro. We flagged this as a tail-risk in our [Tail risks 2026: BNP Paribas grey-swan analysis](#), dated 12 February.

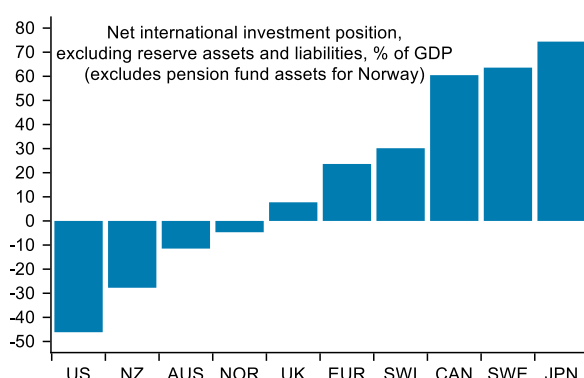
Changes to the GPIF asset allocation strategy have established a precedent for driving large moves in the market. In 2014, when it raised the target allocation for foreign stocks and bonds to 40% from 23%, USDJPY moved higher by 15% between the 90 days preceding the October announcement and the 90 days following. Two-thirds of that move came ahead of the official announcement, and one-third after (Figure 2). The 2014 change occurred at the same time as the Bank of Japan expanded its QQE operations and was perceived by the market as a central part of the wider coordinated fiscal and monetary policy effort to reflate the economy during the 'Abenomics' era.

Range finder: Our base case is that, in the near term, the GPIF will not shift its strategic asset allocation target midpoints in favour of domestic assets, but a gradual move toward the upper bound of the permissible range does look plausible. This would likely have an impact on JGBs, particularly the long end, but we doubt the quantity of flow this implies would be meaningful for the currency. We retain a bullish USDJPY view and target a move to 170.

The GPIF uses a five-year portfolio allocation framework based on its quantitative assessment of various macroeconomic scenarios, while taking into account the financial verification and medium-term target objectives provided by the Ministry of Health, Labour and Welfare. A change in allocation would likely require a lengthy re-evaluation of return expectations, correlations and risk scenarios. There could also be foreign policy considerations if the fund is making a dramatic shift.

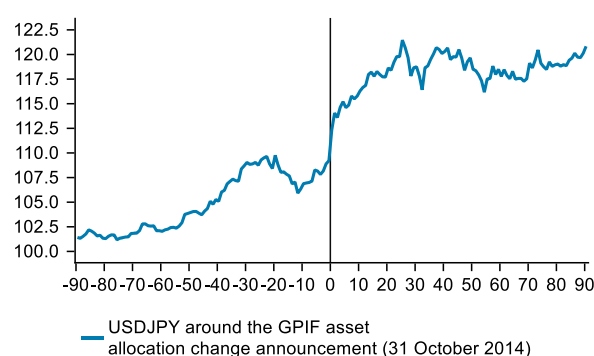
While we think a sweeping change in allocation strategy is unlikely, it would be highly impactful, so we examine here what that might look like and identify scenarios that might make it more probable.

Fig. 1: Japan's NIIP stands out in G10



Sources: Bloomberg, Macrobond, BNP Paribas

Fig. 2: USDJPY rose 15% during the October 2014 target allocation changes



Sources: IMF, Macrobond, BNP Paribas

Little sign of allocation shift preparations

Background: The GPIF – which had close to JPY300trn of assets under management at end-March – targets a long-run expected return of 1.9% above nominal wage growth, at the minimum risk. With nominal wage growth running at about 3%, that implies a current targeted expected return of roughly 5% (Figure 1). We note, however, that the GPIF stresses this is a long-run target that may not be achieved in every fiscal year, and we add the caveat that it remains unclear precisely what measure for nominal wage growth is used.

The GPIF periodically makes assumptions of expected returns across different economic scenarios for its sub-asset-classes (GPIF, 2025). It projects domestic bonds to return the least in all economic scenarios. It projects a real return (above nominal wage growth) of 1.9% based on its current asset mix, and shows a portfolio made up entirely of domestic bonds would return -0.8% in real terms (i.e. 270bp below what is required). This was based on calculations made in 2025, since when JGB yields have risen, but their real return largely remains below that of the 1.9% target, and below the returns of global bonds.

Simply put, in order for the GPIF to have an asset allocation consistent with its required expected return targets, allocating more to domestic JGBs would require the rest of the portfolio to shift towards higher-risk/higher-return assets.

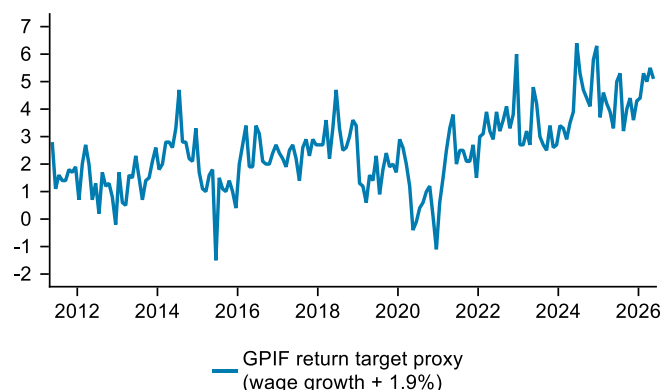
Therefore, we would attribute more credibility to the idea the GPIF might be able to substantially increase its domestic bond holdings if we were to see evidence indicating it was shifting its asset holdings towards those higher-risk, higher-return alternative assets.

Furthermore, given the GPIF's own return assumptions, a potential increase in JGB holdings would likely require a reduction in its next lowest-yielding asset, which are foreign bonds. And we note that any sizeable sales of foreign bond holdings could well come with additional foreign policy and/or geopolitical considerations.

Room for manoeuvre? The latest data indicate Japan's pension funds have actually been net sellers of foreign stocks and net buyers of foreign bonds, the opposite of what one would expect if the fund was creating room to allocate more to JGBs. We think these flows likely reflect typical rebalancing behaviour e.g. selling the assets which have shown the best relative performance. Our source here is the Trust Banks category in Ministry of Finance data, which we acknowledge is only an approximation/proxy for Japanese pension funds.

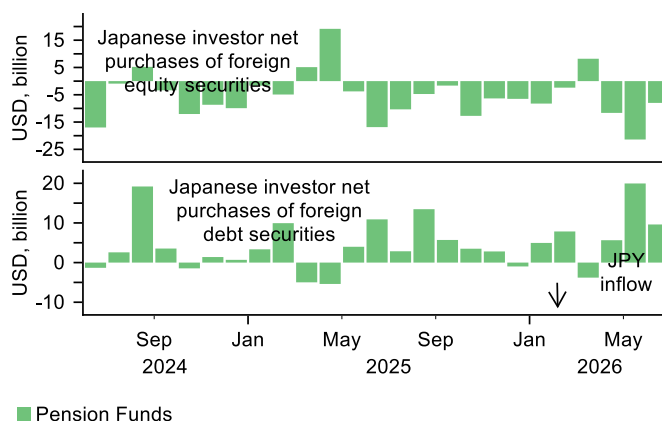
Going into more granular detail, we note that the GPIF classifies foreign bonds which are FX-hedged as a domestic bond for accounting reporting purposes. Given high FX hedging costs due to comparatively low JPY policy rates compared to the rest of the world, selling FX-hedged foreign bonds in order to buy more JGBs may be a plausible strategy. Those foreign bonds will generally have a lower expected return than JGBs, and so selling them to buy JGBs would be targeted-expected-return-consistent. However, we estimate GPIF holdings of FX-hedged foreign bonds are small – at around 0.5% of its portfolio and equivalent to no more than USD10bn. This is therefore not a particularly large source of potential reallocation to JGBs.

Fig. 1: GPIF return target estimate



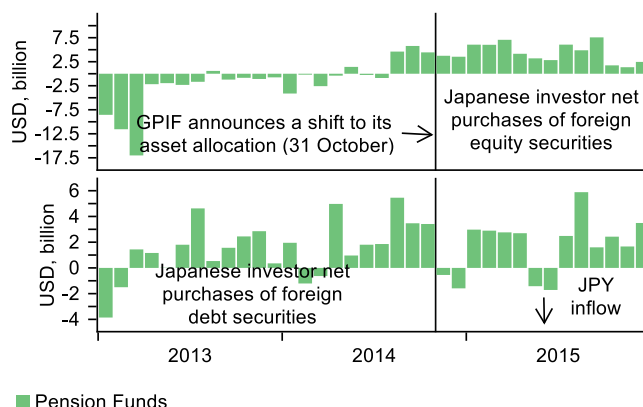
Sources: Macrobond, Bloomberg, BNP Paribas

Fig. 2: Finance ministry data does not suggest a GPIF asset re-allocation is underway



Sources: Macrobond, Bloomberg, BNP Paribas

Fig. 3: In 2014 the GPIF may have started shifting its asset allocation prior to the official announcement



Sources: Macrobond, Bloomberg, BNP Paribas

Impact assessment

Testing boundaries: The GPIF has in-built flexibility of ± 6 pp around its target midpoint for domestic bond allocations. As of its latest disclosure (3 July, covering allocations at end-March), it held 27% of its portfolio in domestic bonds, around USD516bn. It could therefore increase holdings by 4pp, equivalent to about USD70bn. Assuming no rebalancing (highly unlikely) since end-March, and based on valuation changes since (outperformance of equities versus bonds), we estimate there could be even more room – about 6pp or USD120bn.

A USD70bn flow is meaningful for the JGB market, especially the long end, but we would argue it is not meaningful for the currency market.

Translating a flow quantity to a price impact is difficult to do with any precision, but we note the average auction size for 30y JGBs, held monthly, is less than USD4bn. For 10y, it's less than USD20bn.

Therefore, a JGB-buying flow in the high 10s of billions of dollars, even if executed across several months, is likely to have a material market impact. That is especially true if other domestic institutional investors follow the changes in the GPIF's target allocations, as has tended to be the case.

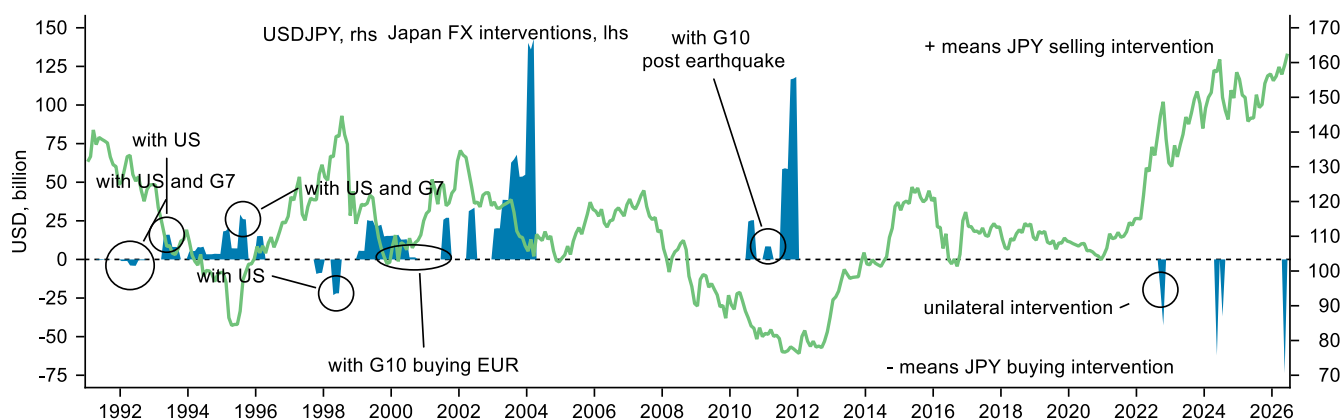
In contrast, we think it would be unlikely to have a big impact on JPY FX. In recent months, there has been widespread media coverage suggesting Japan's Ministry of Finance has intervened in currency markets (buying JPY and selling foreign

currency) and estimating the magnitude in the region of USD70bn. The market impact on the supposed intervention days was notable, but limited, and the impact has faded since. Meanwhile, as strike map positioning on page 5 shows, the market does not own USDJPY strikes above current levels which implies, contrasting with our view, there's a market belief authorities are likely to stop spot rising from here, albeit not necessarily related to potential GPIF allocation changes.

Goals: Right now, the curve in Japan is steeper than in other developed markets – JGBs 10s30s is at around 120bp compared to 50–70bp for the US, Germany and UK. And if a contributing factor for the push for the GPIF investing more domestically is to reduce back-end JGB yields, then we think an allocation shift towards the upper limit of the permitted deviation from the domestic bonds target midpoint could well achieve this. We note, though, that the GPIF's JGB holdings have not tended to skew towards the long-end historically.

If the goal, however, is more to seek JPY appreciation, and more broadly encourage inflows into Japanese assets, then the quantity of flow linked to targeting the upper bound would be unlikely to have a material lasting impact, unless it was accompanied by a shift in the target midpoints (e.g. reversing the changes made since October 2014) and potentially other additional measures.

Fig. 1: USDJPY during intervention episodes



Sources: Macrobond, BNP Paribas, Bloomberg

Fig. 2: GPIF allocations

	March 2026 (reported)		BNPP estimate, assuming no rebalancing, for end-June 2026*		
	JPYbn	Allocation	Q2 perf	JPYbn	Allocation
Domestic bonds	80,679	26.9%	-0.3%	80,443	24.8%
Foreign bonds	73,399	24.5%	3.1%	75,654	23.3%
Domestic equities	71,391	23.8%	14.6%	81,840	25.2%
Foreign equities	74,357	24.8%	16.7%	86,758	26.7%
Overall	299,826		8.3%	324.695	

*Valuation-adjusted, assuming no rebalancing; we estimate the Q2 performance based on the Japan-listed ETFs similar to the GPIF benchmarks

Sources: BNP Paribas, Bloomberg, Macrobond

Indications and warnings

Looking for signals: The GPIF discloses its bond holdings, which largely follows its fixed income benchmark of FTSE World Government Bond Index (excluding Japan and China, non-FX hedged), so we can estimate which countries and currencies could see selling pressure – with the caveat that we see the FX impact as marginal compared to the underlying assets.

As shown in Figure 1, holdings of US bonds account for just over 50% of foreign bond holdings. Compared to Japan as a whole, we estimate this to be relatively low. We note that if the GPIF were to proportionately sell down foreign bonds by 4pp, it would imply the selling of USD40bn in USTs, USD6bn of OATs, USD6bn of BTPs, USD5bn of gilts and USD5bn of Bunds.

At this scale, we doubt it would be significantly market moving, not least because sales would be likely to occur in the more liquid part of the curve. This is because the WAM (weighted average maturity) for these holdings is between 6–10y meaning the less liquid part of the curve (20y+) is less impacted.

Historically, we note that the GPIF has tended to begin adapting its asset allocation prior to a formal announcement. This is logical: given the size of the fund, it would make no sense to pre-announce its intentions and move the market to worse levels than it otherwise would have been able to buy or sell at.

We therefore suggest that the high frequency (weekly) flow data from Japan will be a key data point to monitor, as a material reduction in domestic buying of foreign assets could be an indicator that a portfolio shift is starting.

There would be a further credible signal if the monthly data used to extrapolate pension fund activity (using the ‘trust accounts’ category as a proxy) showed a larger-than-typical contribution from pension funds. We note there has been no evidence of that as of the last data point in June as shown in Figure x. In fact, in May and June foreign debt buying has remained healthy.

Other routes: If the goal of the Japanese authorities is to disincentivise portfolio outflows, partly to stem JPY depreciation and partly to reduce JGB yields, what other measures could it pursue?

The first and most direct point to make would be that the central bank could tighten monetary policy more quickly and get policy to a level at which it is restrictive rather than accommodative.

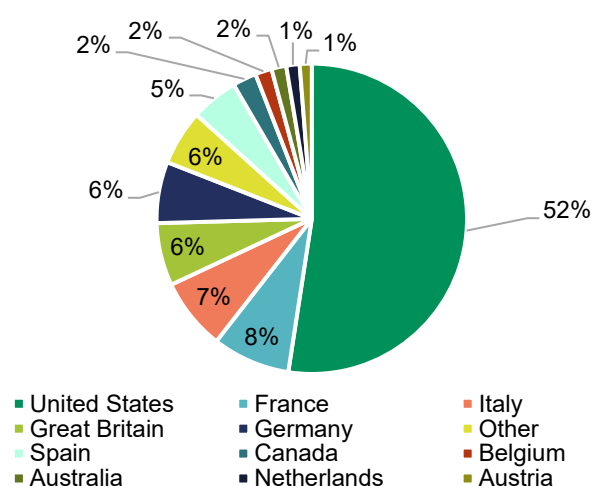
Our view is that the BoJ is behind the curve – we think Japan’s output gap is positive and that policy rates are 50bp below what we would classify as neutral. We expect the BoJ to take policy rates to 2% in 2027 and 2.5% in 2028. In the context of a behind-the-curve central bank, we find it hard to rationalise why the GPIF would shift its asset allocation in such a way to drive a stronger currency.

We also note that Japan’s tax-exempt Nippon Individual Savings Account (NISAs) could potentially see rule changes to encourage more domestic allocations. For instance, NISA reforms in 2024 raised the lifetime tax-exempt investment cap to JPY18mn, which helped some retail buying of mutual funds tracking JGBs. More recently, finance minister Satsuki Katayama proposed making JGBs themselves (not just mutual funds) eligible for inclusion in NISAs, providing retail investors with a tax-efficient way to hold JGBs.

Ultimately, we suspect the JGB buying that results from these policies is likely to be modest as retail flows tend to be small, representing only around 2% of the JGB market. Additionally, given the relatively muted returns of JGBs, we deem it unlikely that Japanese households would choose to allocate a large portion of their NISA quota of tax-exempt investment to domestic bonds – preferring higher-return assets instead.

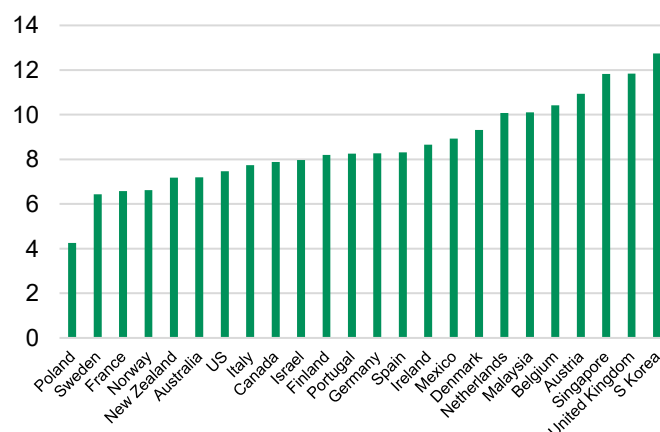
NISA investors tend to allocate to equities, and overseas equities in particular, to maximize the tax-exempt advantage. The Japan Securities Dealers Association estimates that Japanese households allocate 1.4% of their assets to bonds directly and 25.8% to insurance/pensions.

Fig. 1: GPIF foreign bond portfolio split by country



Sources: GPIF, BNP Paribas

Fig. 2: Weighted average maturity of GPIF bond holdings (years)



Sources: GPIF, BNP Paribas

USDJPY trading strategy

USDJPY trading strategy. We currently hold a long USDJPY spot position, targeting a move to 170. Our bias has been and remains that, as long the BoJ is behind the curve and US rates remain elevated, then USDJPY should gradually appreciate over time.

Market indicators suggests this view is not widely shared. Our positioning analysis suggests JPY shorts remain moderate (Figure 1) and strike-map positioning (Figure 2) suggests an options market which is positioned for downside, not topside, risk in USDJPY. Long USDJPY is not a crowded trade in spot, and the prevailing position in the options space is short USDJPY, reflecting a market hedging intervention risk. The strike map suggests breakout risk in USDJPY is to the topside, whereby a decline in spot would see natural hedging flows from existing options positions, but a continued rally in USDJPY may trigger further gains due to the absence of positioning here.

Our base case is for a gradual rally in USDJPY but if spot quickly breaks higher, we may look to take profit on our spot trade as we see a risk that such a rally might trigger more hawkish language from the BoJ.

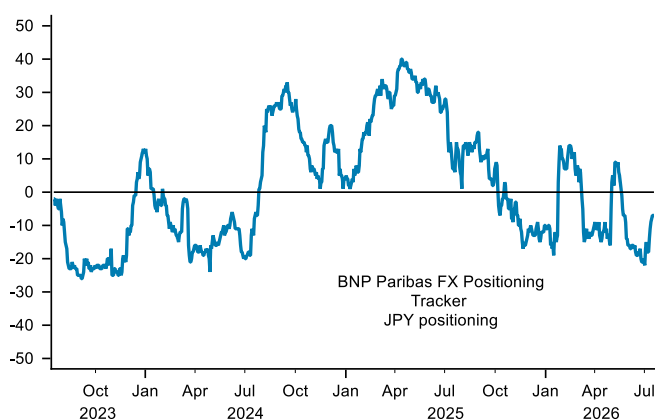
Strike-map positioning and risk reversals indicate that the market is positioned for a dip in spot. Should it occur, we think the reason for the dip would be important – if it is triggered by either a more-hawkish BoJ or a change in the trend in US rates, we would look to close our long USDJPY position.

If the BoJ signals more than one hike this year, bringing the policy rate closer to neutral more quickly, we think it could support the JPY. We think USDJPY could still finish the year higher in this scenario, but acknowledge the near-term impact of a material BoJ repricing is likely to be significant for FX.

On previous occasions, a US rates rally has been followed by finance ministry intervention (for example in 2022) and we think it would be prudent to move to the sidelines in USDJPY if that were repeated. The combination of the two can prove trend-changing.

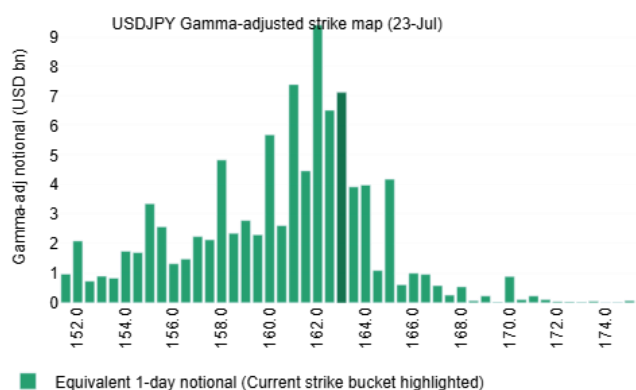
A decline in USDJPY towards 161 for any other reason, by contrast, may provide an opportunity to add, we think. This level corresponds to a region of well-owned options according to the strike map, so would likely herald a period of lower realised volatility. If our base case that the BoJ is behind the curve and US rates remain elevated is intact at this point, we would expect gradual appreciation to resume and we might look to add a short-term long-spot/short-gamma position such as a KO call. This type of structure monetises positive vol-carry and would decay longer USDJPY, taking advantage of potential spike in implied vol.

Fig. 1: JPY short positioning is light



Sources: Macrobond, Bloomberg, BNP Paribas

Fig. 2: USDJPY strike map indicates little-owned options to the topside



Sources: DTCC, BNP Paribas

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